At the time of India's nuclear tests in 1998, even though the balance of power had started to tilt in China's favour (see Table 2.1), the gap was not in any way dramatic. China was also emerging as a substantial trading partner for India's neighbours, but by 2000, it was only with Bangladesh and Myanmar that China had larger trade than India had with the same countries (Table 2.2). Beijing's policy to hem in Indian power and prevent it from dominating South Asia had not changed fundamentally with the end of the Cold War, but this goal was still mainly achieved through China's continued support to Pakistan.[79] China's growing sea power capabilities were yet to have an impact in South Asia and the Indian Ocean Region (SA-IOR). New Delhi, however, looked at China's growing presence in the SA-IOR with increased unease, and especially its willingness to use the anti-India/anti-hegemony resistance of South Asian countries to its own advantage.[80]

TABLE 2.1 International balance of power (USD millions)

2000		*2010*		*2018*	
GDP	*Mil Exp.*	*GDP*	*Mil Exp.*	*GDP*	*Mil Exp.*
USA (1) 10 252 350	USA (1) 420 496	USA (1) 14 448 925	USA (1) 768 466	USA (1) 20 580 250	USA (1) 648 798
Japan (2) 4 887 519	France (2) 50 873	China (2) 6 066 351	China (2) 138 028	China (2) 13 368 073	China (2) 249 997
Germany (3) 1 955 283	Japan (3) 45 402	Japan (3) 5 700 098	UK (3) 57 088	Japan (3) 4 971 767	S-Arabia (3) 67 555